

susceptible to sweeping changes in the competitive landscape.

Further, we're always up against the shortening lifespans of companies. Mauboussin writes,

Research by Credit Suisse HOLT® shows that less than 50 percent of public firms survive beyond ten years. Our analysis of the BDS data also reveals low survival rates. Exhibit 15 shows one-year and five-year survival rates based on the birth year of the establishment. The rate today is similar to that of 1977. The latest figures show one-year survival rates of about 75 percent and five-year survival rates of roughly 45 percent.

All the more reason finding a good moat is important.

So that's the gist of the theory and experience on moats. There's a lot more I could say about it. As investors, we can think about these things in an abstract way. But one analyst found empirical evidence that we might want to favor a certain type of company.

Overcoming Mean Reversion

Moats, in essence, are a way for companies to fight mean reversion, which is like a strong current in markets that pulls everything toward average.

If you earn outsized returns, mean reversion says over time your returns will fall toward the average (or mean) over time. If you earn low returns, mean reversion says over time your returns will likely rise to average.

Mean reversion reflects the competitive nature of markets, the fact that people are always reacting and anticipating and working to make more money. There's a lot of natural shuffling going on as people create new products and new businesses and shut down old ones. Capital sloshes around, funding promising ventures and draining less attractive ones. The whole competitive mosaic is always changing.

Anyway, we don't have to explain why exactly mean reversion happens.

The fact is we see it in the numbers.